CASCADIA ANALYTICS

INVESTMENT SCORECARD

LIFE

Ethos Technologies Inc. (NASDAQ)

As-of: 30-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$43.39 [30-Oct-26 close (Yahoo Finance)]

Market Cap: $2.85B [30-Oct-26 close (Yahoo Finance)]

Attractiveness Score



Confidence: **Medium** (1 pillar excluded)

Pillar Breakdown

1. Growth — 88

Revenue +113% YoY in Q2 2026 and +108% in H1; activations +133% YoY; FY2026 guided +88%. Scored below the ceiling because growth is volume-led with ARPU down 8% YoY and the guide already embeds deceleration.

2. Operating Quality — 62

Contribution margin 33% and adjusted EBITDA margin 19% in Q2 2026, but GAAP operating margin is 9.56% after SBC; margin quality depends on SBC normalization that has not yet printed for a full year.

3. Balance Sheet — 85

Net cash of $150.09M on the house bridge (cash plus current investments less the commissions-sale liability); no borrowings; a $324.28M commissions-receivable stock as a contracted asset.

4. Cash Conversion — 55

Operating cash flow of $66.869M in H1 2026 is real, but the commissions-receivable build absorbed $71.275M in the same period; conversion improves only as growth decelerates.

5. Moat and Durability — 40

Distribution challenger with no underwriting risk but severe carrier concentration (Carrier A 41%, Carrier B 38% of H1 revenue) and no pricing power over carriers; moat cross-check held at 0%.

6. Valuation 90

At $43.39 the market implies 10.7% five-year revenue CAGR on Base margins against a Base path of 26.1% and a Bear path of 17.9%; Base target is +79.7% above spot.

Investment Thesis

- **Distribution Compounder Priced as a Fad:** Ethos is an asset-light life insurance distribution platform growing revenue above 100% with a contracted renewal-commission asset, priced at 3.9x guided FY2026 sales with a market-implied growth rate below our Bear case.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 '26)	$189.6M [10-Q Q2 '26]	+113%	Up
Adjusted EBITDA (Q2 '26)	$35.2M [8-K EX-99.1]	19% margin	Up
ARPU (Q2 '26)	$1,758 [10-Q Q2 '26]	-8%	Down

Historical Financial Trend

Metric	2024	2025	H1 2026
Revenue	$254.9M [10-K FY24]	$387.6M [10-K FY25]	$382.7M [10-Q H1 '26]

Valuation

Absolute (9/10)

EV/Sales 4.6x TTM, 3.7x on FY2026 guidance [Filings 30-Oct-26]
DCF Base $77.96 [DCF model]
Reverse DCF implied CAGR 10.7% vs Base 26.1%

Versus Peers (6/8)

LIFE 4.6x EV/Sales TTM and 3.7x on FY2026 guidance [Filings 30-Oct-26]
Broker and distribution peers at 3.0-5.4x EV/Sales TTM: AJG 5.4x, BRO 4.4x, GSHD 3.5x, BWIN 3.5x, RYAN 3.0x [Mkt 30-Oct-26]

LIFE trades inside the peer pack on sales while growing far faster (revenue +113% YoY in Q2 2026 against peers at +7% to +31%), so the discount is growth-adjusted, not headline. The offset is margin quality: LIFE's GAAP operating margin of 9.6% trails the mature brokers' roughly 19-25%, and closing that gap depends on SBC normalization.

Versus History (3/7)

Public only since the January 2026 IPO, so no multi-year multiple range exists [Filings 30-Oct-26]
At the October 30 close of $43.39 the shares trade at 4.6x TTM sales and 3.7x guided FY2026 sales

With ten months of trading history there is no established range to revert to. The valuation case rests on the forward path (guided +88% FY2026 growth decelerating on our scenario path), not on history, and the score reflects the absence of a historical anchor rather than a negative signal.

Catalyst Timeline

Nov-2026 [8-K EX-99.1]
Q3 2026 print against guided revenue of $160-164M and adjusted EBITDA of $23-25M

Top Risk Factors (Item 1A)

1. Carrier Concentration: Carrier concentration: Carrier A 41% and Carrier B 38% of H1 2026 revenue [10-Q]

2. ARPU Compression and Agent Persistency: ARPU down 8% YoY on channel and product mix;

What Would Change Our Score

A Q3 2026 print that misses the guided $160-164M revenue range, ARPU compression accelerating past low double digits, loss of Carrier A or B distribution, or SBC failing to normalize below about 6% of revenue would each weaken the case; two together would end it.

third-party agent persistency requires active termination discipline [10-Q]

Forward Growth Drivers

- Activated policies +133% YoY in Q2 2026 to 107,847; H1 activations 196,220 [10-Q]
- FY2026 guidance: revenue $727-731M, adjusted EBITDA $119-123M; $100M Class A repurchase authorized [8-K EX-99.1]

Missing / Modified Data Log

- LIFE has no measured beta (IPO Jan 2026); the DCF uses a documented Goosehead peer beta. TTM GAAP multiples are negative or meaningless after the IPO SBC spike and are carried as nulls.

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